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FII's HOLD Rs 3.75 LAKH CRORE, OR 3.34%, OF Rs 112 LAKH CRORE GOVT DEBT

To draw funds, prop rupee, Govt scraps FII capital gains, withholding tax on bonds

Re under pressure, BoP deficit likely to be around \$50-60 bn, move expected to result in good foreign fund inflows

Siddharth Upasani
New Delhi, June 5

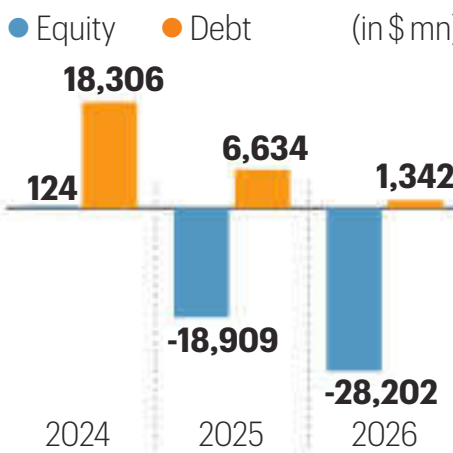
AMID PRESSURE to attract foreign funds and also stabilise the rupee, the Centre on Friday scrapped the capital gains tax, both long-term and short-term, on investment by Foreign Institutional Investors (FIIs) in government bonds as well as the withholding tax they must pay on their interest income from these debt instruments. At present, FIIs pay 12.5% tax on long-term capital gains, 30% on short-term capital gains, and around 20% withholding tax on interest income.

The decision, taken after at least two months of internal discussions, is expected to bring tens of billions of dollars in foreign fund into government debt over the coming years, and bridge to some extent the looming balance of payments (BoP) deficit that economists estimate could even touch \$60 billion in 2026-27.

In an ordinance promulgated to amend the Income Tax Act, 2025, after President

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Foreign investment in debt positive, but falling



NOTE: FPI INVESTMENT IN DEBT INCLUDES GENERAL, VOLUNTARY RETENTION, AND FULLY ACCESSIBLE ROUTES; SOURCE: NSDL

E. EXPLAINED Addressing concerns

To assuage global investors, the government and the RBI have in unison announced a string of decisions to attract foreign money. In the last couple of years, heavy pull-out by FPIs from equities and poor net FDI inflows have exerted pressure on the rupee.

FY26 growth estimate raised to 7.7 per cent; momentum strong: PM

Siddharth Upasani
New Delhi, June 5

THE INDIAN economy ended 2025-26 on an unexpectedly strong note, with the GDP estimated to have grown 7.7% on the back of higher growth in investments, the Ministry of Statistics and Programme Implementation (MoSPI) said on Friday.

GDP growth in the last quarter of the year, or January-March 2026, declined slightly to 7.8% from 8% in October-December 2025 — revised upwards from 7.8% — despite the West Asia war overlapping with the final month.

Marginal revisions were also made to the GDP growth

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RBI eases norms for PSUs, banks to get foreign fund inflows

George Mathew
Mumbai, June 5

TO ENCOURAGE foreign capital inflows, the Reserve Bank of India on Friday eased norms for state-owned enterprises to borrow overseas and for banks to mobilise foreign current deposits. The move complements the government's decision to

»CONTINUED ON PAGE 2



RBI Governor Sanjay Malhotra in Mumbai, Friday. PTI

Differential rates on deposits beyond RBI norms not acceptable, says Governor

Akash Mandal
Mumbai, June 5

RBI GOVERNOR Sanjay Malhotra said Friday that banks are permitted to provide differential interest rates on deposits in certain cases like senior citizens, but the central bank has very clear policies and conditions for such instances. He said banks must be transparent by clearly displaying rates to everyone, and offering undisclosed preferential rates is "certainly not acceptable".

"We have a very consistent and very clear policy on deposits, as to when they can have differential rates. I think for certain categories of people like senior citizens, or depending on tenure... (in such cases) then you can have differential rates," Malhotra said at the post monetary policy press conference.

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INDIAN EXPRESS UPSC IAS EDITION HD 06~06~2026
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All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.
There are some topics which can be coded in answer writing of other topics in the main exam.

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

FII capital gains, withholding tax

Droupadi Murmu gave her assent, the government said the changes will come into effect from April 1, 2026. FII investment in government bonds stands at Rs 3.75 lakh crore, or just 3.34% of the available amount of Rs 112.42 lakh crore, under the so-called General Route and Fully Accessible Route (FAR). These are the two ways in which foreign investors invest in Indian government securities.

According to Axis Bank economists, no tax on FII investment in government debt could lead to \$45-50 billion inflows over two years.

A BoP deficit exerts pressure on the rupee to weaken. While the rupee has gained some ground since nearly breaching the 97-per-dollar mark last month, it is down 5% since the war began on February 27 and has slumped 10.3% in the last one year. After closing at 95.79 per dollar on Thursday, it ended sharply higher at 94.94 on Friday. Meanwhile, yields on government bonds declined.

The tax exemption on “any interest on Government security, and any capital gains arising

from the sale, exchange or transfer of such Government security” applies to FIIs as well as the Bank for International Settlements. The BIS is an organisation of central banks from around the world. It is yet to invest in India.

Until now, while foreign investors had to pay a long-term capital gains tax of 12.5% on listed stocks and bonds that they hold for more than 12 months, they also had to pay a withholding tax – akin to a tax deducted at source – on interest income from their holding of bonds. Non-residents paid a withholding tax of about 20% on their interest income from government bonds – one of the highest in the world – after a concessional rate of 5% ended in 2023. The tax on short-term capital gains was 30%.

Investors from countries with which India has double taxation avoidance agreements pay lower rates. Meanwhile, investors who don’t have an Indian tax residency are at a further disadvantage because the withholding tax must be paid on the gross amount and losses can’t be set off against past gains.

The Indian Express had reported on May 15 the government and the Reserve Bank of India were considering multiple measures to attract foreign investment inflows, including a cut in the withholding tax rate on government bonds, if not completely eliminating it.

Timing with tax elimination, the RBI too said Friday it was “expanding the universe” of government securities that fall in the so-called Fully Accessible Route (FAR) to include all new issuances of 15-, 30- and 40-year bonds.

“In addition, limits pertaining to short-term investment, concentration and individual securities on FPI investment under the General Route are being removed. These measures along with the tax benefits provided by the government this morning should help attract foreign capital for government borrowing,” Governor Sanjay Malhotra said while announcing a raft of other measures to boost foreign inflows into the country. While he did not specify how much foreign money could come into India because of the steps that have been taken, he

said the hope was that a healthy amount would do so.

“The combined impact of these could help bridge the \$40-50 billion gap in the Balance of Payments that we had estimated for FY27. We see an appreciation bias likely for the rupee over the coming months as the actual flows on account of these measures start trickling in,” Sakshi Gupta, Chief Economist at HDFC Bank, said.

Experts have long warned that the withholding tax is an obstacle to stronger foreign inflows, with Ananth Narayan, former Whole Time Member at the Securities and Exchange Board of India, saying last month the tax is the source of a lot of “friction”. “I am not saying that if you solve this tomorrow, money will come in. But this is definitely a barrier for money to come into the country,” he had said.

As such, the removal of the two taxes on Indian government bonds could boost inflows at a time when Foreign Portfolio Investors (FPIs) have pulled out \$28 billion from Indian stock markets so far in 2026.

“The whole world is fixated on foreign portfolio flows into equities, but FPI debt inflows are not insignificant,” DSP Mutual Fund said on Thursday.

FY26 growth estimate

estimates for April-June 2025 (6.7% to 6.8%) and July-September 2025 (8.4% to 8.3%).

The full-year GDP growth figure of 7.7% released Friday, called the provisional estimate, is higher than MoSPI’s second advance estimate of 7.6% announced in February. India’s GDP had grown by 7.1% in 2024-25.

“India’s growth momentum remains strong!” Prime Minister Narendra Modi said in a post on X. “GDP growth rate of 7.7% in FY 2025-26 and 7.8% in Q4 of FY 2025-26 reflect the inherent strength of our economy, the success of reforms and the hard work of 140 crore Indians. We shall leave no stone unturned to further ‘Ease of Living,’ ‘Ease of Doing Business’ and increase opportunities for our youth.”

While growth in the Gross Value Added (GVA) by the agriculture sector eased to 3% in 2025-26 from 4.2% the previous year, the manufacturing sector expanded at a double-digit rate of 10.7%, up from 9.3% in 2024-25.

The services sector also grew at a faster clip last year, with the category of ‘trade, hotels, transport, communication and services related to broadcasting and storage’ growing 11% as against 6.6% in 2024-25, “reflecting the trend of higher mobility in the economy and higher travel and tourism activity”, said Madan

Sabnavis, Chief Economist at Bank of Baroda.

Meanwhile, financial, real estate, IT and professional services saw their GVA increase 10.4%, up from 10%.

On the whole, real GVA growth in 2025-26 rose to 7.9% from 7.3% the previous year.

GVA measures the value addition, or the difference in value of output produced and the value of input used. It is also calculated by subtracting net product taxes from the GDP.

“The fact that GVA growth at 7.9% outpaced GDP growth suggests that India’s expansion was not solely demand-driven but also backed by strong production momentum,” said Rumki Majumdar, Economist at Deloitte India. “Performance across services, manufacturing and construction indicates that the economy has entered a period of global uncertainty from a position of strength, which should help it better absorb potential supply-side shocks.”

Last year, Private Final Consumption Expenditure increased 7.7%, sharply higher than the 5.8% growth recorded in 2024-25. Gross Fixed Capital Formation – a proxy for investments – also rose at a faster rate of 8.2% as against 6.4%. Investment growth was particularly strong in the January-March 2026 quarter, rising to a 13-quarter high of 10.8%.

• GDP growth improved in FY26

	2024-25	2025-26
Agriculture	4.2%	3.0%
Mining	11.7%	5.2%
Manufacturing	9.3%	10.7%
Electricity, other utility services	2.9%	1.7%
Construction	7.3%	7.4%
Trade, hotels, transport	6.6%	11.0%
Financial, real estate, IT	10.0%	10.4%
Public administration, defence, other services	5.0%	5.0%
Gross Value Added	7.3%	7.9%
GDP	7.1%	7.7%

NOTE: GROWTH RATES ARE IN REAL TERMS; SOURCE: MOSPI

The latest GDP data came hours after the Reserve Bank of India (RBI) cut its forecast for 2026-27 to 6.6% from 6.9%, with Governor Sanjay Malhotra warning that while domestic demand remains resilient and manufacturing and services sectors activity continue to expand, “there are incipient signs of moderation in some sectors”.

As per the central bank’s latest forecast, growth is seen at 6.6% in April-June 2026, 6.3% in July-September 2026, 6.5% in October-December 2026, and 6.8% in January-March 2027. In April, the central bank had expected the country’s GDP to increase by 6.8%, 6.7%, 7%, and 7.2% in the four quarters of 2026-27.

While the Indian economy entered the West Asia war on a strong footing, economists widely expect growth to slow down meaningfully in the

coming months – as indicated by RBI’s own forecasts.

According to Devendra Kumar Pant, Chief Economist at India Ratings & Research, the higher energy prices and weak rupee due to the conflict as well as weaker rainfall because of El Nino “is likely to have an impact on India’s growth-inflation dynamics”. Pant expects GDP growth to slow down to 6.7% in 2026-27 and inflation to increase to 5%, broadly in line with what the RBI has predicted.

“Markets are likely to move on from the backward-looking data and focus on potential spillover risks into FY27, particularly given the prospect of a prolonged disruption in the supply of critical inputs to downstream industries, higher energy as well as food costs impacting purchasing power and tighter financial conditions,” said Radhika Rao, Senior Economist at DBS Bank.

RBI eases norms

do away with capital gains tax and withholding tax on FII investment in government bonds.

The RBI will provide a concessional foreign exchange swap facility until September 30, 2026 to encourage external commercial borrowings (ECBs) by public sector firms. At the core, the RBI is effectively lowering the hedging and funding cost of borrowing in foreign currency by PSUs, enabling them to raise cheaper funds abroad. This move has come at a time when investment in new projects has become sluggish and growth has declined.

A swap facility allows PSUs to convert rupee liabilities into foreign currency exposure, or vice versa, at more favourable terms than market-based hedging. By making this “concessional” and time-bound (until September 30), the central bank is explicitly nudging them to tap cheaper overseas capital. Big oil, power and infrastructure PSUs have traditionally relied on ECBs. However, in recent years, many shifted to domestic bonds, sovereign-backed financing, or multilateral loans, as the ECB route turned riskier due to foreign exchange exposure.

The RBI said a similar facility, covering the full hedging cost, will be available to authorised dealer banks raising fresh three- to five-year FCNR(B) deposits until September 2026. The facility effectively changes the economics of long-tenor foreign currency borrowing for banks since the hedging costs are usually one of the biggest deterrents when banks try to attract non-resident inflows.

A Foreign Currency Non-Resident Bank account is a fixed

deposit held in India by NRIs or Overseas Citizens of India (OCIs). Unlike typical rupee accounts, it allows you to park your overseas earnings directly in foreign currencies (like USD, GBP, EUR, or CAD) to entirely avoid currency fluctuation risks.

Banks can now offer more competitive interest rates without worrying about expensive forward cover or swap costs eating into margins, and this typically results in a stronger pipeline of stable, medium-term foreign currency inflows into the banking system. This can help smoothen foreign exchange liquidity conditions and support external account stability because higher FCNR(B) inflows increase dollar availability with banks.

Banks raised just \$946 million in FY26 under the FCNR (B) route as against \$7 billion in FY25, according to RBI data.

In 2013, when the rupee was under pressure, banks were given a special swap window with the RBI, allowing them to raise FCNR (B) deposits from NRIs and swap those foreign currency funds (mainly US dollars) with the central bank at a predetermined rate for a fixed tenure, typically three to five years. Banks raised close to \$30 billion through this scheme in 2013.

“The decision to provide full hedging support to authorized dealer banks for mobilizing 3-5 year FCNR(B) deposits, along with concessional forex swap facilities to incentivise ECB borrowings by PSUs, is likely to attract meaningful dollar inflows into the system,” said Shobit Gupta, Chief Investment Officer, Generali Central Life Insurance.

Deposit rates

Declining to comment on any specific entity, he said, “But they (banks) have to be transparent at the same time. You have to display them (the rates) to everyone clearly, and any differential rate beyond that, if someone is giving, is certainly not acceptable.”

Malhotra’s remarks were in response to questions on the legality of banks providing loans with differential interest rates after *The Indian Express* reported last week that HDFC Bank’s internal records showed the bank had made interest payments of Rs 45 crore to the Maharashtra State Road Development Corporation (MSRDC) for 2023-24 and 2024-25.

Internal investigations in the bank, which took place just six days before then chairman

Atanu Chakraborty had resigned citing certain practices within the bank not being congruent to his personal values, showed that these payments were meant as “differential interest” to MSRDC, i.e., interest on deposits over and above the specified rate. However, these payments were routed through the bank’s marketing department.

In its exchange filing, the bank said, “...we wish to state that in line with the highest corporate governance standards of the Bank, the Internal Audit function conducts reviews, identifies and presents its observations from time to time. As such, the observations of Internal Audit function are comprehensively addressed by the Bank and that applies to the matter in question.”



Express News Service
Ahmedabad, June 5

"In the financial year 2025-26, India has achieved a growth rate of 7.7%. In the quarter that ended March 31, India's growth was 7.8%. And [India] is a big economy, which is progressing fast," Modi said. "The world is surrounded by a crisis... With the collective efforts of 140 crore citizens, India is not only managing itself, but also succeeding in staying ahead of all"

Nilgiri Tahr population rises to 1,364 in TN, 4.68% rise over ’25

Nikhil Ghanekar
New Delhi, June 5

TAMIL NADU’S Nilgiri Tahr population has recorded a steady rise with the third synchronised population estimation conducted in April 2026, putting the count at an estimated 1,364 individuals, showing a 4.68 per cent increase over last year. The ungulates, or hoofed animals are an endangered species found exclusively in the Southern Western Ghats.

The Nilgiri Tahr inhabits the verdant sub-alpine grasslands of the Western Ghats in Tamil Nadu and Kerala, and it plays a vital role in nutrient cycling in the high-altitude mountain ecosystem. It has been accorded the highest protection status under the Wildlife Protection Act.

In the last two estimation exercises, the state had recorded 1,303 and 1,031 individuals, in 2025 and 2024, respectively, thus signalling a positive recovery

The animal plays a vital role in nutrient cycling in the high-altitude mountain ecosystem

trend. The results carry a 95% confidence interval of 869 to 2,465 individuals.

Among all the divisions that were covered, Pollachi Forest Division recorded the highest estimated population with 438 individuals, contributing a major share of the total population. Udhagai Division of the Mudumalai Tiger Reserve recorded the second highest estimate with 313 individuals, while Tiruppur division supported a significant population with 148 individuals.

“The Anamalai Hills holds 44.87 percent of the total population of Nilgiri Tahr in Tamil Nadu, whereas the Nilgiris landscape holds 29.25 per cent of the

population,” a press release issued by Supriya Sahu, Additional Chief Secretary to Environment, Climate Change and Forest Department stated.

Age and sex data revealed that adult females constituted 38.4% of the observed population and adult males 34.6%, with a male-to-female ratio of 55:100. Yearlings accounted for 15.5% and young animals for 11.5%.

The Nilgiri Tahr is primarily found in Tamil Nadu and Kerala with its distribution stretching from the southern tip of Kanyakumari to the Nilgiri Hills in the north. “However, this distribution is no longer contiguous, and the species now persists in scattered populations across suitable habitats,” the third estimation report stated.

The estimation exercise was carried out by the Tamil Nadu Forest Department under Project Nilgiri Tahr, from April 24-27, 2026, and it covered 14 forest divisions.

DATA REVEALS A PERSISTENT GENDER DIVIDE

India’s ‘partner-less’ population shrinks but TN, Kerala buck national trend

Zeeshan Shaikh
Mumbai, June 5

AT A time when there is a conversation around rising divorce rates and changing family structures, fresh demographic data suggests a different reality. The proportion of Indians who are widowed, divorced or separated has declined over the past decade, even as a handful of southern states have moved in the opposite direction.

According to the Sample Registration System Statistical Report 2024, 3.5 per cent of India’s population is currently classified as widowed, divorced or separated (W/D/S), down from 4.1 per cent in 2014.

The sharpest reductions were recorded in Uttarakhand, where the W/D/S population fell from 6.2 per cent to 3.5 per cent over the decade, and Chhattisgarh, where it dropped from 5.2 per cent to 3.6 per cent. Delhi saw its figure decline from 3.6 per cent to 2 per cent, while Gujarat fell from 4.8 per cent to 3.1 per cent. Bihar, which already had one of the country’s lowest proportions, saw it decline further from 2.3 per cent to just 1.5 per

cent.

This national trend also masks a striking regional divergence.

Tamil Nadu recorded the highest W/D/S rate in the country in 2024 at 7.2 per cent, up sharply from 5.7 per cent a decade ago. Kerala was the only other major state to record an increase, rising from 6.2 per cent to 6.3 per cent. Telangana remained unchanged at 4.6 per cent.

The contrast with northern states is stark. Uttar Pradesh reported a W/D/S population of 2.2 per cent, Haryana 1.9 per cent, Jammu and Kashmir 1.7 per cent and Bihar 1.5 per cent.

The critical takeaway from the 2024 data is that living without a partner in India remains overwhelmingly a female reality. The figures lay bare a severe structural disparity: men who divorce or lose a spouse are highly likely to remarry, while women overwhelmingly bear the social and economic burden of living out their lives with the W/D/S status.

A decade ago, a massive 6.5 per cent of the total female population was classified as W/D/S,

compared to a mere 1.9 per cent of males. While the overall numbers have improved, the gender chasm remains firmly intact. Today, 5.4 per cent of all Indian females carry this status, compared to just 1.6 per cent of males.

While almost every state in northern, eastern, and western India mirrored the national trend of a declining W/D/S population, the data expose a massive geographic shift in the South. Two of India’s most highly developed states completely bucked the national trend, registering notable increases in marital dissolution and partner loss.

Tamil Nadu witnessed a drastic surge, jumping from a W/D/S rate of 5.7 per cent in 2014 to a country-leading 7.2 per cent in 2024. Kerala also experienced an increase, rising from 6.2 per cent to 6.3 per cent.

Higher female literacy, greater financial independence, and better social safety nets may be leading to a higher social acceptance of divorce and separation.

FULL REPORT ON
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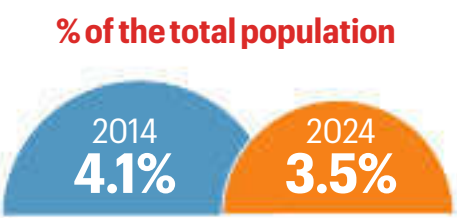
• INDIA’S ‘PARTNER-LESS’ PARADOX

A demographic look at the Widowed/Divorced/Separated (W/D/S) population (2014 vs 2024)

THE BIG PICTURE:

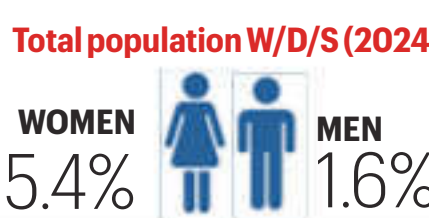
A SHRINKING DEMOGRAPHIC

Contrary to urban narratives, the proportion of Indians living without a partner after marriage is actually falling nationally



THE GENDER CHASM

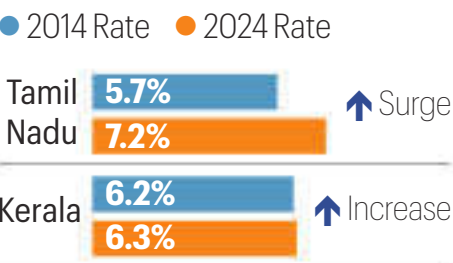
Living without a partner remains overwhelmingly a female reality in India. Men remarry; women overwhelmingly carry the W/D/S status for life



THE GEOGRAPHIC DIVIDE:

THE SOUTHERN SURGE

While almost all of India saw rates fall, two highly developed Southern states bucked national trend



The Editorial Page

SATURDAY, JUNE 6, 2026

Between government and RBI, getting back the investor

Rates on hold, focus on bringing foreign capital

THE JUNE meeting of the RBI's Monetary Policy Committee was held against a challenging economic backdrop. Inflationary pressures have been building up, capital has been flowing out, the rupee is under pressure, and the underlying growth momentum remains unpredictable. The MPC, however, despite suggestions to the contrary, chose to keep interest rates unchanged at 5.25 per cent — rightly so — and also continued with the neutral stance. The continuing uncertainty over the conflict in West Asia and its spillover effects on growth and inflation call for a wait-and-watch approach.

On inflation, there is cause for concern. Headline retail inflation stood at 3.5 per cent in April. However, prices at the pump were raised in May. Price pressures are also being felt across various segments and the second-round effects of higher input costs will soon begin to show. The central bank has already raised its inflation forecast for the year to 5.1 per cent, up from the 4.6 per cent estimated in its April meeting. Food inflation is also a concern with a subnormal monsoon forecast and El Niño. All this implies that inflation is edging upwards at a time when growth appears to be slowing down — the central bank has projected GDP growth at 6.6 per cent for the year, down from its earlier estimate of 6.9 per cent. There are also downside risks to growth.

Alongside the policy, the government and the central bank announced several measures aimed at attracting foreign capital and easing pressure on the currency. The Centre has done away with the capital gains tax on FII investments in government bonds, and the withholding tax on their interest income. Alongside, the RBI has expanded the universe of government securities that fall under the fully accessible route. These moves could affect demand for government securities and there are implications for bond yields. The central bank has also provided a concessional forex swap facility to incentivise external commercial borrowings, and a similar facility for bearing the hedging cost to banks for raising FCNR (B) deposits. All these are steps in the right direction. Considering that foreign investors have taken out \$28.6 billion from equity markets so far this calendar year and net FDI stood at just \$7.65 billion in 2025-26, measures are needed to attract foreign capital.

Impunity for exam leaks undermines trust

IN THE past two decades, India's examination ecosystem has been repeatedly hit by paper leaks, cheating rackets and administrative breakdowns. School-leaving examinations, admission tests to engineering and medical institutions, and recruitment exams for teachers, police constables, railway staff and government officials have become embroiled in controversies. Revelations of malpractice often lead to the cancellation or postponement of examinations, adversely affecting candidates' careers. The first step towards restoring the sanctity of admission and recruitment procedures should be to identify the chinks in the system and nab the people who exploit them by running cheating operations. However, an investigation by this newspaper shows that the government and the criminal justice system have been extremely tardy in fixing accountability. The figures reveal a shocking state of laxity: The accused were convicted in only two of 45 paper-leak cases between 2002 and 2025. Of the 1,658 arrested, only 925 — about 55 per cent — were charge-sheeted. Such impunity raises troubling questions about the state's commitment to restoring the integrity of the examinations that shape the future of millions.

For a rapidly growing aspirational class, competitive examinations are a gateway to higher education, employment, social mobility and financial security. As the paper's investigation shows, more than 3.86 crore people had enrolled for the examinations that were cancelled in the past 23 years. Such high-stakes exercises require law-enforcement agencies to be especially vigilant against the paper mafia. However, as early investigations into the failure of this year's NEET examinations indicate, these agencies do not seem to be adequately prepared to mitigate the vulnerabilities created by the outsourcing of logistical functions, the proliferation of private testing agencies and the emergence of sophisticated coaching networks. Investigators have alleged the involvement of individuals connected to translation and paper preparation functions. Pursuing investigations to their logical conclusion could provide clues about the workings of illicit networks, aid in devising a robust deterrence mechanism and help identify systemic weaknesses.

In a young country, competitive tests embody the promise that educational and career advancement are determined by merit rather than by privilege or corruption. Repeated exam fiascos and negligible conviction rates weaken trust in the country's institutions. It's high time the government learned its lessons.

THE MONETARY Policy Committee's second bi-monthly meeting for the year unfolded in line with our expectations, with a unanimous status quo on the policy rates and stance. The tone of the policy document was expectedly hawkish, amid uncertainty owing to the West Asia conflict, the potential El Niño development and sub-par monsoons.

While the committee pared its real GDP growth projection for FY2027 by 30 bps to 6.6 per cent from 6.9 per cent in the April policy, the commentary around growth outcomes was fairly benign. This stems from expectations of a continued momentum in urban consumption, investment activity, and services exports, and the impact of the government's programmes to mitigate the effect of the sub-par monsoon on rural demand and agricultural activity.

The quarterly growth trajectory for FY2027 has been lowered, although unevenly, with a 20-40 basis points cut in the projections for the first and second quarter, and a 40-50 basis points cut in those for the third and fourth quarters. The MPC expects GDP growth to lie in a narrow range between 6.3 and 6.8 per cent.

We are somewhat less sanguine, particularly for the first half of this year. Elevated energy prices and heightened uncertainty around the duration of the conflict could compress corporate profitability and investment demand. This, along with higher inflation, could also dampen consumer sentiments. Besides, the weak monsoon forecast for 2026 has dulled the agricultural outlook and rural demand prospects, although the distribution of rainfall remains key. Moreover, a modest fiscal slippage following the West Asia conflict could pare the govern-

ment's discretionary spending, including that on capex.

Assuming an average crude oil price of \$95 per barrel in FY2027, ICRA projects the GDP growth at 6.2 per cent. We expect the GDP growth to slump to sub-6 per cent in the first half, before recovering in the second half of the year, to around the levels projected by the MPC in the fourth quarter.

Simultaneously, the MPC has raised its CPI inflation projection for FY2027 by 50 bps to 5.1 per cent from 4.6 per cent earlier, amidst a sharp 70 bps hike in the forecasts for the second, third and fourth quarters. The core inflation forecast has been raised by a milder 30 bps to 4.7 per cent. It has stressed that inflation risks remain tilted to the upside owing to the sub-par monsoon and global supply-chain risks.

The committee's CPI inflation projections are largely in line with our estimates. We concur with the upside risks and remain particularly concerned around the generalisation of food and fuel price pressures to the rest of the CPI basket.

Interestingly, unlike the usual trend of balanced risks around its projections in the past, the MPC placed upside risks to inflation and downside risks to growth for the second consecutive policy review, with the outlook being mired by unpredictable nature of the conflict, the sustained global commodity price shock and supply disruptions as well as deficient rainfall in the southwest monsoon season.

Unlike us, some market participants had argued for an early rate hike on account of two factors. First, the upward revision in the CPI inflation trajectory has compressed the real policy rate, fanning argu-



ADITI NAYAR

Assuming an average crude oil price of \$95 per barrel in FY2027, ICRA projects GDP growth at 6.2 per cent. We expect GDP growth to slump to sub-6 per cent in the first half, before recovering in the second half of the year

ments around the need for immediate rate hikes. However, the paring of growth projections justifies a lower real policy rate, at least in the immediate term, as inflation projections remain below the upper bound of the MPC's target range of 2-6 per cent. In our view, any premature policy tightening would have only exacerbated the weakness in growth outcomes.

Nevertheless, the next move on rates is likely to be a hike, although its timing will depend on how geopolitical and macro developments, including the severity of El Niño, transmit to a generalisation of inflationary pressures. We believe that the October and December 2026 policy meetings will be live for potential rate hike(s), after there is some clarity on the monsoon impact.

In addition to the compression in the real policy rate, the weakness in the rupee was cited as a reason for bringing forward rate hikes. The surge in energy prices in the aftermath of the West Asia crisis will undoubtedly enlarge India's current account deficit (CAD) materially. We project it to more than double to around 2 per cent of GDP in FY2027. While this does not seem large, financing deficits of sub-1 per cent of GDP in the past two years posed a challenge, amid a drying up of capital flows, which has brought the USD/INR pair under pressure.

As anticipated, the MPC acted within its mandate, and appropriately kept the repo rate unchanged, despite the weakness in the rupee. But, alongside, the RBI governor made several announcements to attract capital flows, in line with our expectations that the RBI and not the MPC would address the issues surrounding the currency.

The announcements made by the RBI are aimed at incentivising more foreign capital inflows, especially in government securities (G-secs). With the GoI exempting foreign portfolio investors (FPIs) from capital gains tax on investments made in G-secs, the RBI also made a coordinated move, expanding the list of specified securities under the fully accessible route (FAR). It also removed various limits for FPIs under the general route. These moves are likely to boost demand for G-secs, auguring favourably for bond yields, given the risks from an expected fiscal slippage. Besides, this could potentially facilitate the inclusion of Indian G-secs in the Bloomberg Bond index, in the next round of the review due later this year.

Further, in order to support equity inflows, the RBI proposed to increase limits for investments by non-resident Indians and Overseas Citizens of India in equity instruments traded on the stock market without SEBI registration, while extending the same facility to persons resident outside India as well. The central bank has also introduced a concessional forex swap facility and a similar facility for bearing full hedging cost to authorised dealer banks for raising fresh three- to five-year foreign currency non-resident bank (FCNR (B)) deposits, along with restoring the time for realisation of export proceeds to nine months.

Subsidised hedging cost of foreign borrowings and deposits will also help in increasing inflows. This will help reverse the exodus of capital and crucially support India's balance of payments position, amid expectations of a doubling in the current account deficit.

The writer is chief economist, head-Research & Outreach, ICRA

The Ideas Page

SATURDAY, JUNE 6, 2026

Absence of conviviality & a disease called capitalitis



GAUTAM I MENON

IN A talk at CMC Vellore some years ago, the veteran public health expert John Oommen referred to what he called “capitalitis”. Among its symptoms was the tendency, most prominently of those based in Delhi, to believe that policies devised in the national capital could be transplanted without change to the rest of the country.

Capitalitis is a disease with diffuse symptoms. It shows itself, for example, in how input is taken to inform decisions at a national level. An instructive example is that of the On-Screen Marking system, or OSM, instituted this year by the CBSE in its Class XII examinations. The CBSE did not hold pilot projects across its 22 regional centres, even though this was reportedly suggested by its advisory committee in the previous year. Only about 100 teachers, all from Delhi-based schools, participated in the exercise. It is understood that even those teachers advised the CBSE not to go ahead with the OSM rollout, citing the need for better features, training and more time to adapt. The total number of city schools that participated was just five, a tiny, non-representative fraction of the approximately 33,000 CBSE schools across the country.

A broader pilot project might have led to a better understanding of the problems faced by teachers in areas far from the capital. These are problems of erratic power supplies, intermittent internet availability, quality of scans, a lack of appropriate devices, and the availability of time, given the many other civic duties often assigned to schoolteachers. The idea that the national capital, with its relatively stable power supply, 5G internet, and relatively better-off schools might serve as a template for the rest of the country is a clear example of capitalitis.

More than a decade ago, I served on a committee tasked with devising a national-level graduate examination. For the two days that it took to complete the paper, we were effectively secluded. Cell phones were not allowed and no papers could be taken out of the room in which we worked.

The committee was composed of academics from all over India. All of them were committed to creating an examination that would help identify those who would benefit most from advanced training. The questions had to be appropriate to the level at which students were trained, across India. But they also needed to be able to identify an additional layer of creativity and out-of-the-box thinking.

What strikes me now, looking back, is the collegiality, sociability and joyfulness with which we worked together to this end. We were, in a single word, convivial.

Many things have changed since then. One major change is that the National Testing Agency has taken over administering the same examination, in addition to others. While there were no serious complaints about the older system, the same cannot be said of the NTA more recently. Several academics of repute have simply not agreed to work with the NTA in forthcoming rounds of exam setting.

There are many reasons for this, but chief among them seems to be the structure of the NTA itself. It is largely staffed by contractual employees. They are overworked and susceptible to multiple pressures, including deadlines imposed on them at short notice. Administrative requirements and the call of efficiency have taken centre stage, replacing the passionate involvement of convivial individuals. The idea of “one agency to rule them all”, located in the capital city, manned by staff with no intrinsic attachment to a larger purpose, subverts the true strength of our federal system. The architecture of the past was diffuse, flexible, consensus-based, and diverse.

The combination of capitalitis and AI is worse than these on their own. Any reasonable AI model can now generate questions at an appropriate level, with suggested answers and partial scores. One could go further and have all evaluations done by machine. A further advantage would be to have multiple versions of the papers, again an easy task for any AI. Such a model would be an efficient one and could be administered completely in the national capital. But would it be a convivial one?

A convivial society is one where no centre holds absolutely, where diversity is accommodated, and where industrial-level efficiency is not the chief metric that measures performance. The project of building a social nation requires, at a deep level, conviviality. A Viksit Bharat should also be a convivial Bharat.

To achieve conviviality, even with AI to help, we should first cure ourselves of capitalitis. One step towards that is to see it for what it is.

The writer is a professor at Ashoka University. Views expressed here are his own and do not represent those of his institution



- CLIMATE

Can scheme to replace NCR's old trucks and buses curb pollution?

Nikhil Ghanekar

New Delhi, June 5

THE UNION Cabinet Wednesday approved a two-year clean mobility scheme to reduce air pollution in the Delhi-National Capital Region (NCR). The scheme will incentivise the replacement of older trucks and buses with vehicles that are compliant with BS-VI or higher norms.

BS refers to Bharat Stage, a set of emission standards to regulate and reduce vehicular air pollution. While BS-IV regulated tailpipe pollutants such as nitrogen oxides (NOx), carbon monoxide (CO) and particulate matter (PM), BS-VI introduced stricter limits on such emissions besides pushing cleaner fuels and advanced onboard diagnostics. Government vehicles are excluded from the new scheme.

Clean mobility

Delhi-NCR suffers from extreme air pollution. Its predominant sources are the transport sector, dust, industrial pollution and biomass burning. These sources are both local as well as regional. Their share, though, varies depending on the season, as meteorological factors play a crucial role in saturation or dispersal of pollutants.

Vehicular emissions remain a key concern. Delhi-NCR has a large vehicle fleet (2.98 crore) which is growing at 7% per annum, according to government data. This year, a meta-analysis of multiple emission source apportionment studies from 2015 and 2010 by a panel of air quality experts attributed 23% of winter PM_{2.5} pollution and 19% of summer PM_{2.5} emissions to the transport sector. This expert panel was tasked by the Commission for Air Quality Management (CAQM) in Delhi-NCR to assess reasons behind the worsening of air quality in the region.

One of the most important studies on source apportionment has been the August 2018 study by The Energy and Resources Institute and The Automotive Research Association of India, which found that the transport sector accounted for 40% of CO and 63% of NOx emissions in Delhi-NCR. Moreover, within the transport sector, trucks and buses account for 36% of PM_{2.5} emissions — fine particles that enter the lungs and the bloodstream, causing respiratory and cardiovascular ailments.

Even as the share of trucks and buses compliant with older emission norms is only 3% of the total fleet, their emission load is disproportionate to their stock. It is estimated that one pre-BS norms heavy-duty vehicle pollutes as much as 14 times of the modern, BS-VI compliant vehicles. The government note on the Cabinet decision stated that even a BS-IV vehicle emits 2.7 times more than its BS-VI counterpart, making the transition to cleaner technology an important step to reduce air pollution.

Emission potential and vehicle stock

According to CAQM data from December 2025, goods vehicles accounted for 4.1% (11.80 lakh) of the region's 2.88-crore fleet as on August 31, 2025. Buses account for only 0.6% of the 2.88 crore fleet in the region. Of these 1.61 lakh buses, only 34,449 are compliant with BS-VI norms while 1,26,549 fall in the pre-BS to BS-IV compliant category.

Last year, CAQM submitted to the Supreme Court that even though a vehicle might be fit otherwise, it would still be emitting pollutants as per its BS standard, which are outdated. The CAQM-constituted panel of air quality experts had noted in their report that older vehicles, particularly those operating beyond their regulatory life, exhibit higher emission intensity due to engine deterioration and compromised emission control performance.

THE CENTRAL BANK ALSO RAISED INFLATION PROJECTION FOR FY27 TO 5.1%, FROM 4.6% EARLIER

RBI trims FY27 growth forecast to 6.6%

‘Average crude oil prices in F27 may be substantially higher than the \$85/barrel the RBI had assumed’

George Mathew, Akash Mandal & Siddharth Upasani
Mumbai/New Delhi, June 5

THE RESERVE Bank of India (RBI) on Friday cut its GDP (gross domestic product) growth forecast for the current financial year to 6.6% from 6.9%, and raised the inflation projection to 5.1% from 4.6%, cautioning that elevated energy prices and global supply constraints were having “adverse spillovers” on economic activity.

And while domestic demand remains resilient, “there are energy incipient signs of moderation in some sectors”, Governor Sanjay Malhotra said.

He added that there are indications that average crude oil prices in 2026-27 would be “substantially higher” than the \$85 per barrel the central bank had assumed in its forecasts in April.

As per the new forecast, growth is seen at 6.6% in April-June 2026, 6.3% in July-September 2026, 6.5% in October-December 2026, and 6.8% in January-March 2027.

Back in April, the central bank expected the country’s GDP to increase by 6.8%, 6.7%, 7%, and 7.2% in the four quarters of 2026-27.

Meanwhile, the quarterly average inflation forecasts, as measured by the Consumer Price Index (CPI), have been revised from 4%, 4.4%, 5.2%, and 4.7% to 4.2% in April-June 2026, 5.1% in July-September 2026, 5.9% in October-December 2026, and 5.4% in January-March 2027. The RBI is mandated to target a CPI inflation of

4% in the medium-term in a range of 2-6%. The new forecasts show inflation reaching the upper bound of the RBI’s target range towards the end of 2026, with Malhotra saying the impact of the energy price shock is seen waning thereafter.

The core inflation forecast for the current year has also been increased to 4.7% from 4.4%. Core inflation is a measure of inflation that does not include food and fuel items, whose prices can be volatile. As such, it is seen as an indicator of underlying demand in the economy.

The revised macroeconomic forecasts of the RBI were announced by Malhotra while detailing the Monetary Policy Committee’s (MPC) interest rate decision. The governor said that the global environment has deteriorated since the last policy meeting with the conflict lingering amidst a fragile truce.

“The adverse implications of the extended disruption in supply chains and elevated energy prices are reflected in the moderation of growth and increase in inflation projections from the April policy,” he said.

Prices of several inputs such as commercial LPG, industrial raw materials, chemicals, base metals, rubber, and plastic products, among others, have increased. “These could exert upward pressure on CPI inflation in the coming months as firms pass on higher input costs,” he said. Generalisation of inflation through second-round effects on expectations and wages is a



The RBI is mandated to target a CPI inflation of 4% in the medium-term in a range of 2-6%. REUTERS

distinct possibility, warranting a close vigil. “The outlook also remains clouded due to the sub-normal south-west monsoon forecast and El Niño risks. Elevated energy prices coupled with global supply constraints are having adverse spillovers on economic activity,” he said.

Global economic outlook remains clouded by the continuing geopolitical impasse in West Asia, as sharply escalating energy prices and global supply chain disruptions continue to hinder economic activity.

Faced with difficult trade-offs, monetary policy has turned more cautious, he said.

The rupee, which has fallen over 5% since March 2026 when the West Asia conflict started, gained 85 paise at 94.94 against the dollar on Friday following the latest RBI steps to boost in-

flows and the government move to cut capital gains tax and withholding tax. Malhotra said the RBI will continue to curb excessive volatility and prevent disorderly movements in the foreign exchange market, while emphasising that its objective is not to resist market-driven adjustments.

The Governor’s statement comes after the rupee nearly touched the 97 mark last month, while the central bank’s foreign exchange reserves declined by nearly \$46 billion as it intervened in the currency market to stabilise the rupee.

Reiterating that the RBI’s exchange rate policy remains unchanged, Malhotra said the central bank does not target any specific level or band for the rupee and allows the currency’s value to be determined by mar-

• PRICE PRESSURES

THE CORE inflation forecast for the current year has been increased to 4.7% from 4.4%. Core inflation is a measure of inflation that does not include food and fuel items, whose prices can be volatile. It is seen as an indicator of underlying demand in the economy

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GENERALISATION OF inflation through second-round effects on expectations and wages is a distinct possibility, warranting a close vigil

ket forces. However, he noted that exchange rate movements can at times be influenced by speculative pressures and heightened uncertainty, leading to volatility that is not in line with underlying economic fundamentals.

“While our foreign exchange reserves provide a strong buffer against external shocks, we have a broad range of regulatory and market-based instruments to respond effectively as may be required,” Malhotra said.

“In this regard, we remain vigilant and are fully prepared to do whatever it takes to preserve orderly market conditions.” As on May 29, 2026, India’s foreign exchange reserves stood at \$682.3 billion, adequate in terms of the standard metrics of reserve adequacy including import cover of about 11 months.

India can return to 7% growth path in FY28, says CEA

New Delhi: Macro stability and supply measures can bring back India on a 7% growth trajectory in FY28, Chief Economic Adviser (CEA) V Anantha Nageswaran said on Friday, asserting that the growth is contingent on improvement in external conditions.

“We have no reason to second-guess them (RBI forecast) at this point, because there are both possibilities on the upside and on the downside with respect to the numbers that they have presented,” he said here.

“So, even if the growth were to slip below 7% as the RBI forecast suggests...macro stability measures and supply assurances will bring us back to a 7% plus growth track in FY28 or as soon as external conditions improve,” he added.

He further said it is a hope based on the assumption that the pre-February 28 condition is restored before FY28.

“Now, if these conditions continue, then we will revisit the estimate for the next financial year,” he added. Talking about nominal GDP, he said, it is a fair estimate that it will overshoot the 10.1% estimated in the Budget 2027, given the rising inflation. “The good news is that the nominal GDP growth will be much higher than the number which the budget estimates used, which is 10.1% for the current financial year,” he said. On the overall trade deficit, he said it widened in FY26, and a similar trend with potentially wider deficits is possible in FY27. PTI



• PLASTIC CURRENCY NOTES ON ANVIL

From rupee to deposits: What RBI Governor said on key issues

RBI measures on inflows

We are not targeting any particular amount, but we do expect healthy flows of ECB (external commercial borrowing) and the other measures announced today... expect a much better balance of payments this year compared to what it would have otherwise been.

Hedging costs

Yes, I do expect them (banks) to pass on some of the benefits of hedging (PSU ECBs and FNCR deposits), and that will result in good flows.

On FCNR sops

We expect the measures announced today to allow banks to offer higher interest rates for NRI and OCI depositors.

Forex benefits to PSUs

Concessional facility for forex (ECB borrowing) is restricted to PSUs since benefits to these companies are passed on to a much larger section of the society, unlike the case with private sector.

On the 4% inflation target

It’s a target which is sacrosanct for us, which was given by the government. But keep in mind that this target is to be met over a period. It’s a medium-term kind of a target. It is not advisable to take action for each and every small deviation from the target because that can have consequences.

Rupee valuation

I have never said the rupee is not undervalued. By some accounts it is undervalued, especially if people compare it to the REER.

On competition for deposits

There is competition. Competition is healthy. As long as it is transparent and fair, competition is good. And that should continue.

Economy

Economic condition remains robust in the wake of the West Asian war. And the global shock currently seen applies to other countries too. India is in a much better state compared to some of the other economies, as well as compared to similar shocks in the past. Forex reserves are adequate, corporate balance sheets remain healthy, banks are in a good position, so our economy is in a good place.

On private capex

Private capital formation numbers have actually been very healthy. Investment to GDP ratio has been turning upwards. So those numbers remain healthy, but more can certainly happen.

Plastic currency notes

The proposal is under consideration. We are examining the pros and cons of it, and whether it will be worthwhile to do it. It is still at a preliminary stage.

AKASH MANDAL

Working to close ‘open ends’, 1st tranche of India-US trade deal by mid-July: Goyal

Ravi Dutta Mishra
New Delhi, June 5

A DAY after India and US trade officials concluded negotiations, Commerce Minister Piyush Goyal on Friday said that India and the US will sign the “first tranche” of the bilateral trade deal by mid-July.

The US has already proposed new Section 301 tariffs on 60 countries, which are expected to come into effect after July 7. Washington has set 12.5% tariffs on 54 countries, including India, China and 10% on 6 countries, such as Pakistan and the European Union.

“We had excellent discussions from June 2-4 this month. We had a full team of officials from different divisions of trade from the US in New Delhi. I also met them yesterday. We are fast-moving towards closing all the open ends. Sometime by the middle of next month or so, we should be in a position to execute a very vibrant first tranche of the bilateral trade agreement. It will give preferential access to India over our competitors. I expect a higher level delegation by the end of this month,” Goyal said at a press conference in Andhra Pradesh. US President Donald Trump on Thursday also said that India and the US would fi-



The US has proposed new Section 301 tariffs on 60 countries, which are expected to come into effect after July 7. REUTERS

nalise a trade agreement.

Speaking to reporters at the White House, Trump said, “For years, India took advantage of the United States. They charged us tremendous tariffs and paid nothing. Now it is the exact reverse, and we are making a lot of money with India. But we will get to a deal...I like your Prime Minister a lot. He is a good friend of mine, and we get along well. We have a good relationship,” Trump said.

The Commerce and Industry Ministry on Thursday had said that a delegation from the Office of the United States Trade Representative (USTR), led by the Chief Negotiator, visited India from 1-4 June

2026 to advance discussions on the trade agreement.

“During the visit, the teams held constructive and positive discussions across a wide range of issues covering Trade in Goods, Non-Tariff Measures, Customs and Trade Facilitation, Economic Security Alignment and other areas of mutual interest,” the ministry said.

Experts have said that Section 301 is a far more potent tool than the International Emergency Economic Powers Act (IEEPA) tariffs, which were used to impose reciprocal tariffs but did not pass muster in the US Supreme Court. This legal tool was mostly used by the US against countries such

as Europe & Japan, dominant export powers then, before the WTO came into existence in 1995. The Trump administration has resurrected Section 301 again amid a weakening WTO. Singapore-based Henrich Foundation explained that under Section 301, USTR gets sweeping powers not only to impose duties but also other kinds of restrictions.

USTR can “withdraw or suspend trade agreement concessions”, enter into binding agreements with the foreign government to eliminate the conduct or unburden US commerce, or compensate the US with satisfactory trade benefits.

“After consultations, USTR is meant to investigate to determine whether the action is unfair and harms US trade. This investigation can result in a determination of either mandatory or discretionary actions. The former includes trade agreement violations, unjustifiable or burdensome, or restrictive behaviour. Because Section 301 need not apply only to goods, other retaliatory actions are allowed, such as restricting the terms or conditions or denying the issuance of any ‘service sector access authorisation’,” the Henrich Foundation report said. FULL REPORT ON

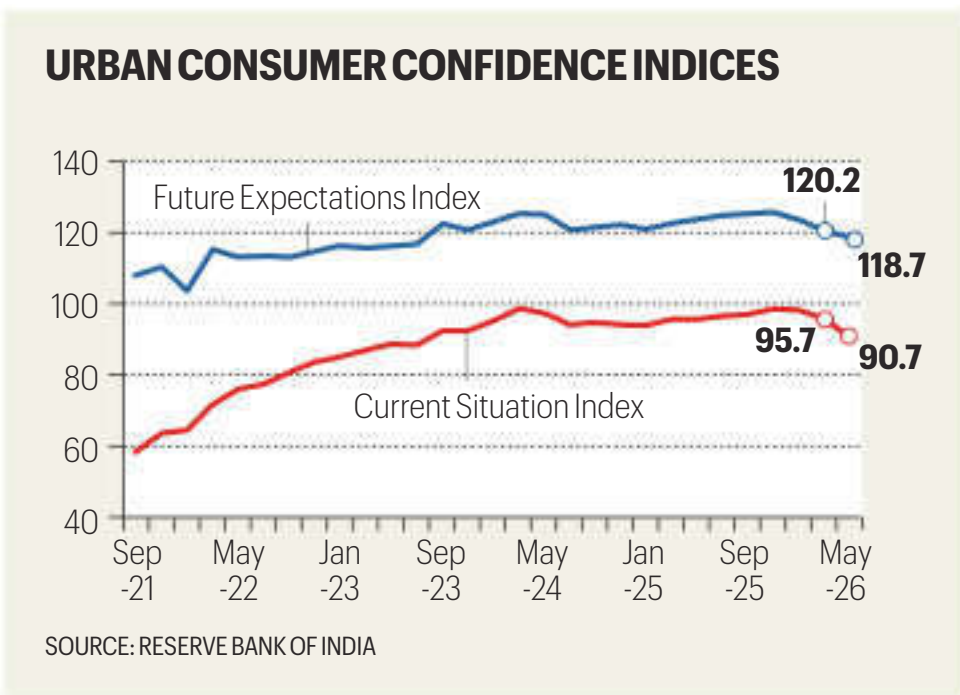
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• Urban, rural consumer confidence falls: RBI survey

Consumer confidence in urban India declined last month, according to the Reserve Bank of India’s latest survey, published on Friday. Based on perceptions of households on the general economic situation, employment, prices, income, and spending and conducted from May 2-11 with responses from 6,086 people across 19 major cities, the survey showed that confidence for the current period declined for the third successive survey round, with the Current Situation Index falling to 90.7 from 95.7.

Meanwhile, the Future Expectations Index — which considers the one-year-ahead period — declined to 118.7, the lowest since September 2023. An index of more than 100 is indicative of optimism, while a sub-100 figure suggests pessimism.

“Households’ sentiment significantly weakened on spending for both the time horizon. The waning is primarily driven by ebbed sentiment on discretionary expendi-



ture,” the RBI noted.

The story is not too different in rural India, with the central bank’s Rural Consumer Confidence Survey showing that the Current Situation Index fell for the fourth survey in a row to 95.2. The Future Expectations Index, while in the optimistic zone of over 100, declined to 119.3 as all parameters, except prices, deteriorated.



Govt re-appoints Swaminathan as RBI Dy Governor for two years

Mumbai: The Centre has re-appointed Swaminathan Janakiraman as Deputy Governor of the Reserve Bank of India for a period of two years, the central bank said on Friday. His term will begin from June 26. Swaminathan was first named as Deputy Governor in June 2023, prior to which he was a managing director at the country’s largest bank, State Bank of India. As Deputy Governor, Swaminathan is in charge of several key areas, including the Department of Supervision and Inspection Department, among others. The RBI has four deputies to Governor Sanjay Malhotra: Swaminathan, Poonam Gupta, Shirish Chandra Murmu, and Rohit Jain. ENS